PERSONAL PROJECT · EQUITY ANALYSIS

Apple.

Equity Snapshot · FY2025 - Q1 FY2026

"Status, ecosystem, and the most loyal customers on Earth."

AN PHU NGUYEN DUC

NASDAQ
AAPL

The world's most *integrated tech company.*

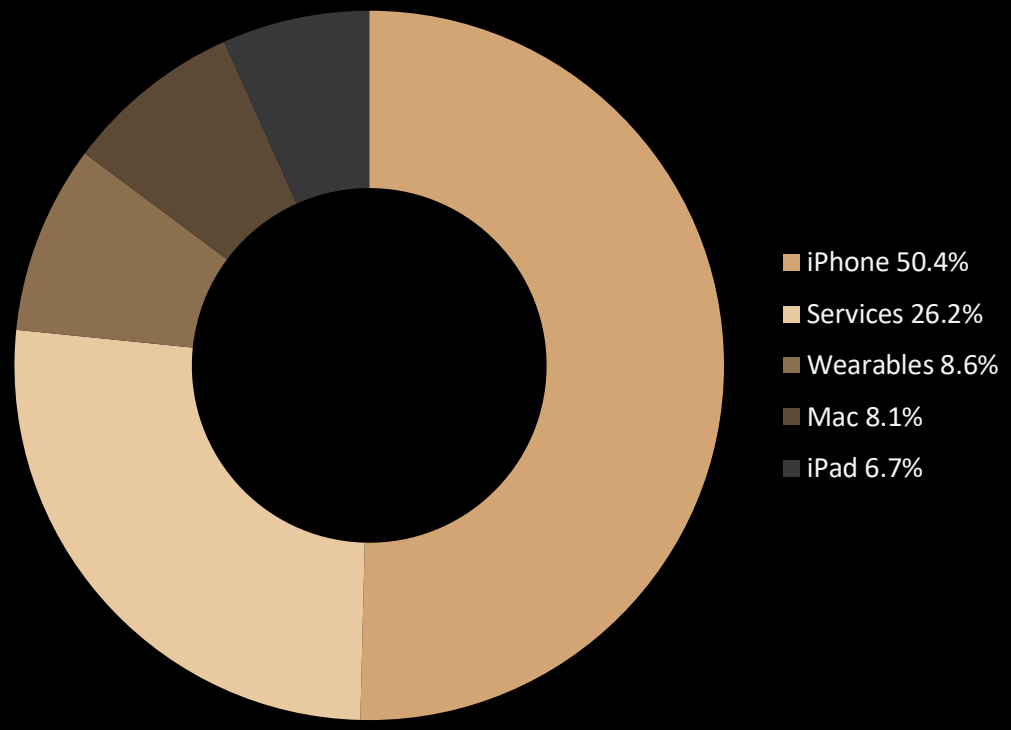
FOUNDED	CEO	EMPLOYEES	MARKET CAP
1976	**Tim Cook**	**~166,000**	**$4.0T**
Cupertino, California	Steps down Sep 2026	Globally as of 2026	Apr 2026, NASDAQ-listed

BUSINESS MODEL

Vertical integration. Apple controls the chip (A-series, M-series), the hardware (iPhone, Mac), the operating system (iOS, macOS), and the services layer (App Store, iCloud). No competitor owns this much of the stack.

Premium pricing, premium customer. iPhone retention rate is approximately 90%. Apple does not chase volume. It sells lifestyle, security, and status to a customer base that buys again and pays for services in between.

Where the money *comes from.*



FY2025 (Sep 2025)

$416.2B total revenue

iPhone is the anchor at **$209.6B,** but the story is Services at **$109.2B** - the fastest-growing and highest-margin segment.

INSIGHT

iPhone is the gateway. Services is the toll road. Each iPhone sold creates years of recurring Services revenue at 75% margin.

Five products,
one walled garden.

IPHONE

$209.6B

50.4% of FY25

The anchor. Apple Silicon (A-series), iOS exclusive, ~90% retention.

SERVICES

$109.2B

26.2% of FY25

App Store, iCloud, Apple Music, Apple TV+, AppleCare. The growth engine.

WEARABLES

$35.7B

8.6% of FY25

Apple Watch, AirPods, Vision Pro. Locks users deeper into the ecosystem.

MAC

$33.7B

8.1% of FY25

Apple Silicon (M-series). Up 12% in FY25 - strongest Mac growth in years.

IPAD

$28B

6.7% of FY25

The bridge between iPhone and Mac. Steady, mature category.

The most profitable *business inside Apple.*

SERVICES GROSS MARGIN

~75%

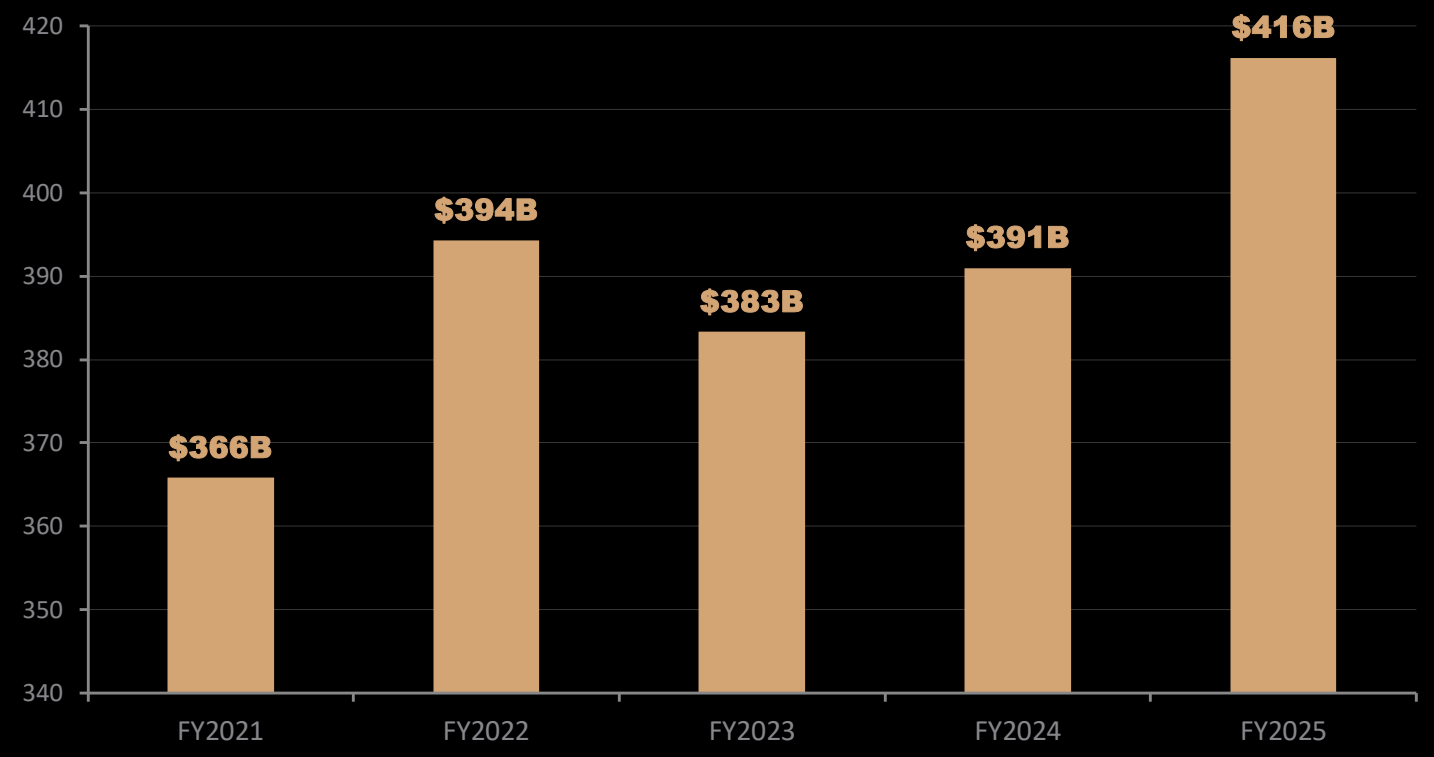
vs. Products at ~37%

Services delivered $109.2B revenue at industry-defining margin in FY25, contributing disproportionately to total profit.

What's inside Services?

App Store	15-30% commission on every developer sale
iCloud	Recurring subscription. Sticky. Near-universal among iPhone owners.
Apple Music & TV+	Direct-to-consumer media revenue
AppleCare	Hardware insurance attached to device sales
Licensing & Search	Google reportedly pays $20B+ annually for default search placement

Slow growth on *a massive base.*



FY25 Revenue

$416.2B

+6.4% YoY

FY25 Net Income

$112.0B

26.9% margin

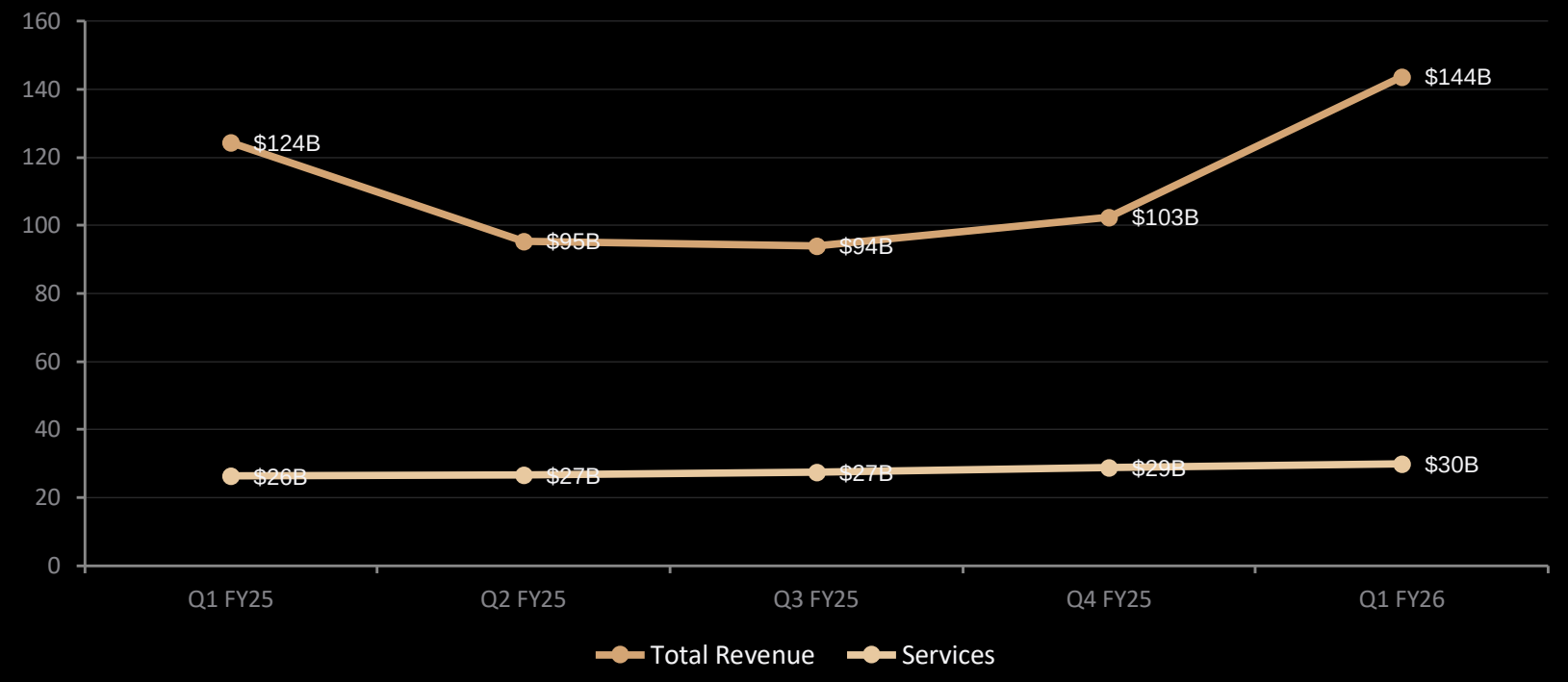
FY25 Free Cash Flow

$98.8B

Powers buybacks

Source: Apple Investor Relations, FY2025 10-K filing.

Q1 FY26 was Apple's *biggest quarter ever.*



Q1 FY26

$143.8B

+15.7% YoY

Q1 always carries the holiday iPhone sales. Services alone grew 14% to $30B and posted record gross margin expansion.

Source: Apple quarterly earnings releases (Q1 FY25 to Q1 FY26).

Margins built on *scale and software.*

GROSS MARGIN

46.9%

Industry-leading for hardware co.

OPERATING MARGIN

32.0%

FY25

FREE CASH FLOW

$98.8B

FY25, fuels buybacks

BUYBACKS

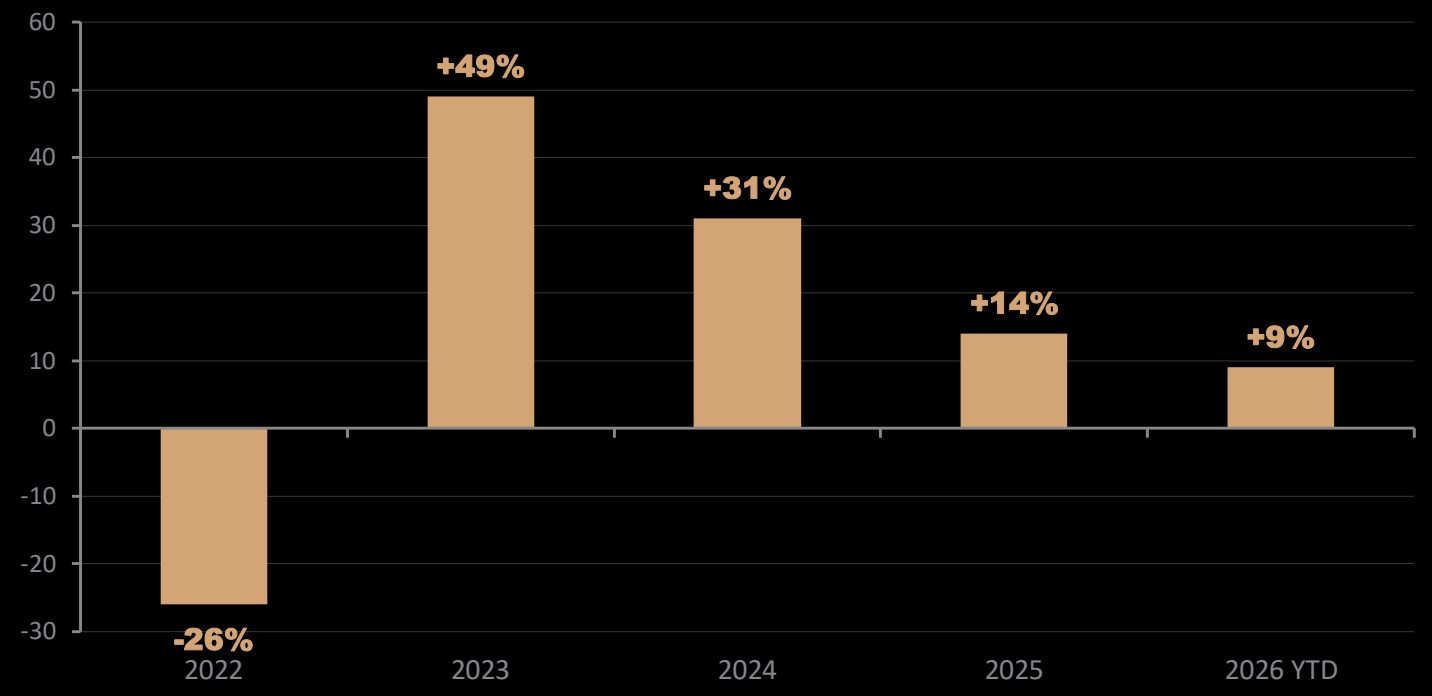
$100B+

Per year, sustained pace

Apple has returned over $700B to shareholders via buybacks since 2012, more than the market cap of most S&P 500 companies.

$4.0 trillion

of value, built one customer at a time.



PRICE (APR 24, 2026)

$271

P/E (TTM)

34x

FORWARD P/E

30x

52-WEEK RANGE

$193 - $289

Source: NASDAQ AAPL total return; P/E from MacroTrends, Apr 2026.

Two billion devices,
one switching cost.

IPHONE RETENTION RATE

~90%

of iPhone owners buy another iPhone

Source: CIRP, Bank of America, multiple consumer surveys.

Why customers stay

Active devices *Globally, as of 2025*	**2.0B+**
Apple One subscribers *Bundled services subscription*	**Tens of millions**
iCloud lock-in *Photos, messages, contacts*	**Universal**
Cross-device features *iMessage, AirDrop, Handoff, Continuity*	**Decisive**

The walled garden
is the business model.

$$$

SWITCHING COST

Years of accumulated data.

Photos, messages, app purchases, AirPods pairings, Apple Watch history. Leaving iPhone means abandoning a decade of memory and convenience.

20

YEARS

Of brand trust.

Built since the iPhone launched in 2007. Status, design language, and predictability that no Android OEM has matched.

1

STACK

Hardware + OS + services.

Samsung must wait for Google to update Android. Apple ships chip, OS, and software in lockstep. Vertical integration is the moat.

Apple does not *compete on specs.*

Samsung & Google Pixel

Hardware rivals (Western markets)

Strong cameras, larger displays, foldables. But Android fragmentation and dependency on Google's roadmap leaves them one step behind on integration.

MEDIUM

Now

Huawei & Xiaomi

China rivals + national champions

Huawei's Kirin chip recovery and patriotic positioning have eaten into Apple's Greater China revenue. Apple still holds aspirational status, for now.

HIGH

Active

Spotify, Netflix, Google Drive

Services-layer rivals

Apple competes head-on in music, TV, and cloud. The default-app advantage on iPhone is decisive but is under regulatory pressure (DMA in Europe).

MEDIUM

Ongoing

Premium pricing meets *a global economy.*

HEADWINDS

Strong U.S. dollar

More than 60% of revenue is international. When USD strengthens, Apple products become more expensive abroad and FX translation shrinks reported revenue.

Higher U.S. interest rates

Higher discount rates compress valuation. Consumer financing for $1,000+ phones gets more expensive - users hold devices longer instead of upgrading.

TAILWINDS

Pricing power

Apple raises prices and customers still buy. iPhone Pro Max ASP keeps climbing. In economic terms, this is Veblen-good behavior in a mass-market product.

Apple Intelligence cycle

On-device AI requires the latest A-series chip. This is the strongest argument for an upgrade cycle since 5G in 2020. iPhone 17 demand is benefiting.

What could go wrong.

China dependency

HIGH

Over 90% of Apple products are assembled in China. Trade tensions, tariffs, or Taiwan instability would disrupt supply with no immediate substitute at scale.

iPhone saturation

HIGH

iPhone is 50% of revenue. Smartphone market is mature. If users find no compelling reason to upgrade, the entire ecosystem flywheel slows.

Tim Cook transition

MEDIUM

Cook is stepping down as CEO on Sep 1, 2026. He guided Apple through 15 years of expansion. The transition is the most consequential leadership change since Steve Jobs.

Regulatory pressure on Services

MEDIUM

EU Digital Markets Act, U.S. antitrust, and Google search payment scrutiny all threaten Services revenue. App Store commissions are the most exposed line item.

Apple is durable, but durability is not invincibility. These are the variables to watch.

BOTTOM LINE

Apple sells

hardware and renews subscriptions.

01 **The ecosystem is the moat.**

iPhone, iCloud, Apple Watch, AirPods, Apple Music, App Store. Each piece reinforces the others. Switching cost is the entire strategy.

02 **Services compounds the cash flow.**

$109B in Services revenue at ~75% gross margin. The reason Apple's earnings keep growing even as iPhone unit growth flattens.

03 **Two real risks: China and the next CEO.**

Concentrated manufacturing and the largest leadership transition in 15 years are happening at the same time. Both worth tracking.